NPS podcast

Speaker I am going to make a prediction right off the bat. I am willing to bet that, uh, within the last week, or maybe even just the last twenty four hours, you have deleted a very specific type of email. Oh, I think I know exactly where you're going with this, right? You buy something online or, you know, you just get off the phone with a customer service rep and then ping it lands in your inbox. Tell us how we did. Tell us how we did. Exactly. And inside that email, there is always that one inevitable question, the golden question. Right? On a scale of zero to ten, how likely are you to recommend us to a friend or colleague? Yeah, the net promoter score. The famous NPS, I mean, it is practically the religion of modern business at this point. It really is. You can't you can't buy a sandwich or rent a car, or even renew your insurance without being asked to join the congregation, so to speak. It's everywhere. But here is the problem. for you and me. That number is just a nuisance. We swipe away on our phones, but for the CEOs and the managers sending those emails, that number is supposed to be a crystal ball. They treat it like it literally predicts the future of their company. Well, that is the theory. At least the idea is simple enough. Higher score equals happier customers, which equals more loyalty and eventually more money in the bank. Exactly. But does it actually do that? That is the massive question we are digging into right now, because for a metric that basically every company on the planet tracks religiously, there is shockingly little hard proof on if it actually drives sales, right? And more importantly, when that money actually shows up. Exactly. It's this classic business blind spot. I mean, we measure it because it's easy to measure, not necessarily because we understand the, uh, the actual mechanics of it, but that completely changes with the research we are covering today. We are looking at a truly fascinating paper. It's titled The Effect of the Net Promoter Score on Sales a study of a retail firm using customer and store level data. And before we get into the weeds of all this, we really need to establish that this isn't just some, you know, internal corporate white paper. Someone threw together for a marketing meeting. Oh absolutely not. This research is a heavy hitter. It was actually recognized as the best paper in marketing and retail by the British Academy of Management. So we were dealing with serious, legitimate academic rigor here. And we should definitely give credit to the lead brain behind this.

Speaker So it was authored by Doctor Yana Hunt, who worked on this project under her maiden name, Doctor Fiserova. Right. She worked alongside colleagues Professor Jeff Pugh from Staffordshire University and Doctor Chris Deimos from the University of Bath. But the real catalyst for the entire project was their co-author, Doctor Andrew Stephenson. Yes, that connection is what makes the data so robust. At the time, Doctor Stephenson was the HR director for DFS, the massive living room furniture retailer in the UK. Exactly. He was in the trenches actively implementing the Net Promoter score into the business, and he decided to use this real world, high stakes implementation for his Doctor of Business Administration thesis. And guess who the director of that DBA program was at the time, Doctor Joanna Hunt. Right. That academic advisory relationship sparked this incredibly rigorous collaboration, which brings us to our core focus today. We all know NPS is a massive corporate buzzword, but this study does something almost nobody else has been able to do.

Speaker they took a massive magnifying glass to the furniture industry to answer that one burning question. What is the actual cash value of a happy customer? And the answer they found is surprisingly complex. It isn't a straight line at all. It involves, significant time lags, weird geometric shapes and it uncovers something they call the halo effect, So let's unpack all of this.

Speaker Previous studies primarily looked at NPS at the macro or industry level, right? Reichel's original work, while groundbreaking, correlated average NPS scores with average sales growth rates across huge multinational companies, which is incredibly helpful for proving a broad theory. Sure. But if you are a frontline regional manager or a store director, an industry average doesn't help you run your daily operations. A frontline practitioner doesn't care about a ten year multinational trend. No, they are asking a much more immediate question. They want to know if my specific team works hard and improves our stores NPS today. When do our actual sales go up and by how much exactly? To answer a question that's specific, you need a micro level study. You need deep, granular data localized to individual stores over a long period of time. And that brings us to the ultimate test subject for this research DFS.

Speaker And for anyone listening outside the UK, DFS is just the absolute giant of the living room furniture market over there. They are massive. They have something like an eighteen point three percent market share, which is just huge for a single retailer in that space. It is and furniture is such a unique beast to study anyway. It's what we call a high involvement purchase because it's expensive. Exactly. It costs a lot of money. The whole market is worth about four point five billion pounds. Yeah. But more importantly, just think about your own life. How often do you actually buy a sofa? Uh, hopefully not very often. I mean, maybe once a decade if I buy a couch today. I am effectively out of the furniture market until the twenty thirties. Exactly. The data actually says the replacement cycle is about seven years. Wow. So unlike a supermarket or a coffee chain, DFS can't rely on you coming back next week just because you like the customer service today. You are gone for seven years. So for a company like that, sales growth just cannot come from retaining the same customer for repeat purchase next month. No growth absolutely must come from word of mouth. It has to come from you telling your sister or your neighbor or your coworker, hey, go to DFS. They were great, which makes sense. That is why the Net Promoter score, that willingness to recommend metric is theoretically life or death for them. Okay, so the stakes are super high, but what makes this paper so special is the sheer volume of data they actually got their hands on, right? Usually when we see these types of studies, it's like we asked one hundred people in a mall what they thought, oh no, this is on a totally different level. This is what we call a data beast. They started with three hundred and eighty six thousand six hundred and ninety five customer surveys, nearly four hundred thousand. That is a ridiculous amount of how did we do emails? It really is. It covers a four year period from twenty eleven all the way to twenty fifteen. And they didn't just look at the surveys in a vacuum either. They matched it up. Exactly. They paired that sentiment data with the hard monthly sales figures for ninety six different stores across the UK. Now the score managers on the ground are probably asking the most obvious question. If I boost my score today, when do I get my bonus? When do my sales actually go up? And that right there is where the trap lies. This is where most managers get it totally wrong. The researchers started by doing the simple math, meaning they just looked for a direct link. Yeah. They looked for a simple correlation between NPS and sales in the exact same month. And I assume they found that higher scores equal higher sales immediately. They found absolutely nothing. Nothing, nothing. Well, it only looks that way because the simple math ignores time. It assumes that if I have a good experience today, I generate sales today. Ah, right. Oh, we just established that you aren't buying another sofa for seven years, right? I'm not walking back into the store five minutes later to buy a matching armchair just because the cashier smiled at me. Exactly. And this is the first major breakthrough of Yanna Hunt's research. They use a much more advanced statistical model. Something called dynamic fixed effects. Okay. Dynamic fixed effects. That sounds extremely technical. Can we translate that for the non-economists listening? Sure. Think of it like a time lapse camera instead of a standard snapshot. If you take a snapshot of a garden the exact day you plant a seed, it looks like nothing happened. Just dirt, right? You need the time lapse to actually see the growth over time. Dynamic fixed effects allows the model to say, okay, satisfaction went up in January. Let's look at sales in February, then March, then April and so on. So it tracks the ripple effect. Exactly. It tracks the ripple effect over time. Okay. So when they finally turned on this time machine model, what did they actually find? How long is the delay? The impact of a happy customer doesn't show up today. It doesn't show up next month. It barely shows up in three months. Okay. The sales bump begins to show up meaningfully five months after the initial product purchase. Five months? Five months. That feels like an absolute lifetime in retail. If I have a great experience in January, the cash register doesn't actually ring until June. Why five months? Well, let's look at the reality of buying a sofa. Walk me through it. You go in, you pick out a nice sectional. Do you strap it to the roof of your car and drive it home that afternoon? Definitely not. It's usually made to order. Yeah. You are waiting, what, maybe six to twelve weeks for delivery? Exactly. So for the first two or three months, you don't even have the product in your house, right? You can't recommend it because it hasn't even arrived yet. You are just waiting. That's a very good point. I'm not going to tell my friends to drop a thousand pounds on a couch if mine hasn't even shown up yet, right? Then it finally arrives. Now you actually have to live with it. We call this the consumption experience. The test track, the test drive. You need to sit on it. Maybe watch a few movies, see if the fabric stains when you inevitably spill tea on it. You need to build confidence that it was actually a good purchase. And that takes time. It takes time. And then comes the absolute most important factor in all of this. The dinner party effect. The dinner party effect. Okay. I like the sound of that. What is that? Think about how. Recommendations actually happen for big ticket items. You don't usually call your friend out of the blue on a Tuesday and say, hey, I bought a great sofa. No, that would be weird, right? It happens physically. You host a dinner party, you have friends over for drinks. Someone sits on the couch and says, ooh, this is comfy. Where did you get it? Oh, that makes so much sense. That conversation just happens naturally in the flow of regular social life. Exactly. And social life takes time. You don't host a dinner party every single week. So that organic physical advocacy takes months to brew. Wow. The data shows the effect really kicks in at month five. It peaks around month seven or eight, and then it lasts until about month nine post purchase. So it's not just a delay. The impact actually has a shape to it. It's like a wave. It is exactly a wave. The researchers describe it as a quadratic pattern. Picture an upside down U shape so it builds up, hits a high point, and then crashes. Yeah, it builds up as your experience lends authority to your recommendation. But then by month twelve, the novelty wears off. Right. It's just your furniture. Now you stop noticing it. You definitely stop talking about it. And practically speaking, you just run out of friends to tell you've already told your sister and your neighbor exactly. The wave crashes. This is actually really crucial for managers to understand, though, because if I'm a store manager and I push my team to be super friendly in January and then I don't see a sales bump in February, I might just think, well, this NPS stuff is garbage. You hit the nail right on the head. That is the absolute tragedy of short termism in business. You might cancel the customer service training program or cut the bonus scheme right before the payoff was about to hit in June, right before the wave peaks. Yes, this research proves that patience isn't just a virtue here. It's a statistical requirement. You have to wait five months to see your return on investment. So that's the win. But the study found something else that I think is even more surprising. It's about where the influence actually comes from. Ah, yes, the halo effect. This is honestly my favorite part of the entire paper. So usually we operate on this, my store, my score mentality. If I run the DFS in Manchester, I only care about the Manchester score. I want to beat the Liverpool store. That's the logical assumption for any manager. But the researchers decided to look at something called net area mean NPS, meaning the region. Right? Basically, they drew a geographic circle around each store and calculated the average satisfaction score of all the other DFS stores in that exact same region. The neighbor, the neighbors, and they ran the numbers to see how much those neighbor scores affected the specific store's sales. And what happened? It turns out the satisfaction scores of the neighboring stores had a significantly larger impact on a store's sales than the store's own score. Wait. Hold on, are you saying if I'm the manager of store A and I'm doing a decent job, but store B in the next town over is doing an amazing job. That helps me more than my own effort. Yes. And conversely, if store B is treating customers poorly, if they are rude, if they completely mess up deliveries, your sales will suffer. No matter how nice I am, no matter how perfect your store is. That is genuinely terrifying for a manager. You are essentially held hostage by your neighbor's performance. It proves that brand reputation is regional, not local. Customers don't distinguish between DFS, North London and DFS west London. They just think DFS. Exactly. They just think DFS. If your friend had a great experience at the one ten miles away, you are much more likely to walk into the one close to you. It's a collective reputation and the numbers completely back it up. The own store effects starts at five months. The area effect starts at six months, but the revenue impact, the actual pounds coming through the till is significantly higher from that area average. So we really are in this together. It really are. A bad apple doesn't just spoil the bunch, it spoils the revenue of the entire bus. Okay, let's finally get to the part that usually makes people's ears perk up. The money we have established there is a time lag and we have established that our neighbors matter. But what is a smile actually worth? This is the. So what of the study? The researchers calculated the exact value of a one percent increase. Just moving the needle by one single percentage point. So moving from, say, an NPS of fifty to fifty one. Exactly. A very small change. If a single store increases their own NPS by one percentage point and sustains it, that generates about five hundred and fifty eight pounds extra per month for that store. Five hundred and fifty eight pounds. I mean, it's not nothing, but it's not exactly retirement money either. That pays for maybe half a sofa. True, but remember the halo effect, right? The neighbors, if the area average goes up by that same one percent, the impact on the store is roughly one thousand nine hundred and twenty nine pounds per month. Wow. that is nearly four times as much. It is huge. And when you aggregate this, when you look at the big picture across all ninety six UK stores in the study, a one percent rise in NPS equals roughly three million pounds in additional annual sales, three million pounds just for being one percent nicer. And here is the comparison that really drives it home. This is the stat that should be sitting on every CEO's desk right now. That three million pound figure that is more profit than the company makes from an average infill store. Remind me, an infill store is. It's a smaller store slotted into a new area just to plug a geographic gap in the market. Okay, but think about the cost of that to open a new store. You have massive capital expenditure CapEx. You have to build it, fit it out, hire all new staff. The paper notes that opening a new store costs about one million pounds in CapEx, right? You have to spend a ton of money to make money. But improving customer service that doesn't require bricks and mortar, that doesn't require planning permission or construction crews. Yeah. The conclusion is that improving customer service by just one percent generates more profit than building a brand new location, totally without the million pound construction bill. That is the real mic drop moment for me. We always talk about growth as expansion. You know, more locations, bigger footprints. But this suggests that internal growth just being slightly better at what you already do is actually the more efficient path to profit is the difference between buying growth and earning growth. And the earned growth via satisfaction is incredibly efficient. Capital wise. It takes something soft like satisfaction and turns it into hard currency. It's fascinating because it validates the hunch that so many good business leaders already have, but it puts strict boundaries on it. It says, yes, it pays, but you have to wait five months and you have to worry about what your neighbor down the road is doing. It really changes how you look at that email in your inbox. It's not just a survey anymore, it's a delayed reaction. Revenue trigger a time delayed, quadratic, regionally influenced revenue trigger. So just to recap what we have learned from

Speaker Doctor Yana Hunt,

Speaker and her team before we wrap up today. Sure. Three main takeaways. One, the payoff is completely real, but it is slow. It hits five to nine months later. Because furniture is a slow social purchase. You literally have to wait for the dinner party. Two the impact is a wave. It builds up and it fades away. You can't rest on your laurels because the novelty of the product wears off for the customer. And three the halo effect. Your brand is truly only as strong as your weakest store in the region. Which actually brings us to a final thought for you to chew on. We talked about how managers are usually incentivized. They're almost always competing with each other. Store A desperately wants to beat store B, right? Leaderboards monthly targets. It's usually set up as a zero sum game, but if the halo effect is real. If my neighbor's good score makes me more money this raises a massive, massive question for organizational design. If the data explicitly says we rise and fall together, why are we designing bonus schemes that pit store managers against each other? If you want to maximize that three million pounds, you need collaboration, not competition. It sounds like we should actually be sending our best staff to the struggling store down the road to help them fix their problems, because their problems are actively costing us money. Exactly. A rising tide lifts all sofas, so to speak. A radical thought to end on. If you're running a team, maybe you look at your neighbors not as rivals, but as the people paying your salary in five months time. Thank you for joining us on this deep dive into this award winning research. It definitely makes me think twice before just swiping away that survey email next time. Same here. See you next time.